

Supply Chain Finance

Commercial & Retail Assets

Credit Approval

for

EFERT Dealer Credit Finance (DCF)



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1. Introduction

This memorandum seeks approval for launching a Dealer Credit Finance (DCF) under a Supply Chain Finance (SCF) structure with Engro Fertilizers Limited ("EFERT" or "the anchor"). The proposed facility will finance dealer purchases through direct disbursements to EFERT.

This paper provides an overview of Pakistan's fertilizer market size, the business potential for UBL, and the strategic rationale for introducing the DCF. It outlines the program's purpose, objectives, target market, expected business impact, customer risk acceptance criteria, operational modalities, and the financial viability of the proposed arrangement. The document will also serve as a template for similar SCF-based dealer programs with other major fertilizer manufacturers, including Fauji Fertilizer Company Limited (FFC) and Fatima Fertilizer Company Limited (FATIMA).

The fertilizer market in Pakistan represents a high-value sector with an estimated annual turnover of **PKR 1.01 trillion**. EFERT, a key anchor within this ecosystem, operates through a network of **1,037 dealers** generating a collective annual turnover of **PKR 503 billion**. Of this amount, **PKR 223 billion** comprises dealer purchases from EFERT, while the remaining **PKR 280 billion** accounts for purchases from FFC and Fatima Fertilizer.

This strategy paper positions UBL to enter the fertilizer value chain through a structured, low-risk financing model aligned with **SBP's revised Prudential Regulation R-14 on Digital Supply Chain Financing**, effective January 2025. The initiative supports UBL's broader strategic agenda to deepen market penetration, enhance customer engagement, and strengthen digital ecosystem participation as part of the bank's transformation roadmap.

The proposed **PKR 2 billion** program with individual dealer limits capped at **PKR 100 million**—is projected to deliver the following outcomes within the first year of launch:

- **5.00% net yield**
- **PKR 400 million** in low-cost current account deposits (projected to reach **PKR 1,000 million** in Year 2)
- **50 dealer relationships**, representing an estimated **PKR 60+ billion** in annual turnover
- Significant cross-sell potential including **Guarantees, Fleet Finance, Credit Cards**, and other commercial products

1.1. Market Opportunity

The fertilizer sector in Pakistan comprises two major product categories **Urea** and **DAP** with a combined estimated annual market value exceeding **PKR 1 trillion**. The distribution ecosystem consists of **1,500–2,000 active dealers**, of which roughly **500 are high-net-worth dealers** with diversified business operations and significant purchasing power.

Product	Annual Volume (MN Tons)	Avg. Price (PKR per 50kg Bag)	Est. Market Value (PKR Bn)
Urea	~6.5	4,388	570
DAP	~1.6	13,809	442
Total	-	-	1,012

Source: NFDC's September 2025 report (annexure – I)

EFERT's internal market insight highlights a **PKR 503 billion** turnover across its **1,037-dealer network**, with **75% of this turnover concentrated in 242 dealers**, indicating a highly skewed distribution and strong potential for focused engagement.

High-Value Dealer Segmentation by Annual Purchases					UBL's Share Potential PKR Mn
Purchase Tier (Annual)	# of dealers	Purchases from EFERT	Total Purchases		
			PKR Mn	% of total	
> PKR 1,000 Mn	124	124,429	300,568	60%	36,068
> PKR 500 Mn	118	39,549	80,225	16%	9,627
> PKR 400 Mn	57	12,676	26,102	5%	3,132
> PKR 300 Mn	86	13,762	29,889	6%	3,587
> PKR 200 Mn	95	10,367	23,525	5%	2,823
> PKR 100 Mn	194	13,225	27,859	6%	5,161
< PKR 100 Mn	363	8,699	15,148	3%	
Grand Total	1,037	222,707	503,315	100%	60,398

Source: EFERT's internal dealer's purchases data (annexure -II)

*Estimation of dealer's turnover through UBL's counters based on its 12% share in total program available to EFERT.

At present, UBL has no meaningful share in this high-potential value-chain. The majority of dealers are currently engaged with banks that already offer mature dealer-finance programs—primarily **Bank Alfalah** and **Meezan Bank**. Entering this segment through a structured Supply Chain Finance model offers UBL the opportunity to

- Rapidly expand its presence in a high-volume, low-risk ecosystem
- Capture primary banking relationships from competitors
- Build a stable CASA-generating franchise tied to essential commodity flows
- Strengthen cross-sell and wallet-share opportunities within the commercial segment

To win and onboard high-value dealers—prequalified on the basis of **three years of satisfactory track record with EFERT**—UBL will offer the following bundled products (subject to standard documentation, internal policy compliance, and eCIB requirements):

- **Letter of Guarantees (LGs)**: 100% cash coverage or market-competitive margin supported by collateral
- **Fleet Finance**: Personal or business vehicles up to **PKR 25 million** or **25% of dealer limit**, whichever is lower
- **Credit Cards & Digital Lending Products** for working capital flexibility

2. Peer Banks Analysis

The dealer finance landscape within the fertilizer sector is currently dominated by **Bank Alfalah**, **HLB**, **Meezan Bank**, and **Bank Al Habib**. Bank Alfalah leads the segment with the largest program size and penetration, servicing **42% of EFERT's dealer network**. Their program operates with a **PKR 5 billion** facility and a **per-dealer limit of PKR 100 million**.

EFERT works with all participating banks under a **stop-supply arrangement**, ensuring strong operational control and mitigating financing and delinquency risk across the ecosystem.

Bank Name	Program Size		Max Limit Per Dealer	Spread	Enrolled Dealers		Dealer's Total Turnover p.a.	
	PKR Mn	Share % Of existing	PKR Mn		Count	%	PKR Mn	%
Bank Alfalah	5,000	31.25%	100	1.25%	445	42.91%	244,869	48.65%
Bank Al Habib	2,000	12.50%	60	1.00%	249	24.01%	89,737	17.83%
Meezan Bank	2,000	12.50%	30	1.00%	211	20.35%	93,193	18.52%
Habib Bank Ltd	5,000	31.25%	30	0.75%	102	9.84%	56,625	11.25%
Faysal Bank	2,000	12.50%	30	1.00%	30	2.89%	18,892	3.75%
Total Existing	18,000	100.00%			1,037	100.00%	503,315	100.00%

UBL's proposed	2,000		100	1.00%	*50	-	~ 60,000	**11.11%
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*Based on maximum per-dealer limit; final count will vary based on utilization patterns and risk acceptance criteria.

**Out of total PKR 18 Bn program size that would be available to EFERT post UBL's approval.

3. Relationship Economics

PKR Mn	1st Year	2nd Year
Program Size	2,000	5,000
Max Limit per dealer	100	100
Expected Average Limit per dealer	50	75
# of enrolled dealers (Program Size / Average Limit)	40	67
Average Utilization (50% of total limit)	1,000	2,500
Spread	1.00%	1.00%
A) Interest Earning	10	25
Average C/A Deposit (Per Dealer)	10	15
Average C/A Deposit (Entire Program)	400	1,000
B) Return on C/A deposit (@ 10%)	40	100
Total Earning (A +B)	50	125
Yield (Total Earning / Average Utilization x 100)	5.00%	5.00%

4. The Anchor: Engro Fertilizers Limited (EFERT)

Engro Fertilizers Limited is a subsidiary of Engro Corporation (56% stake) and part of the Dawood/Engro Group. The company manufactures urea and Nitrophos/NPK fertilizers and imports DAP. UBL CIBG enjoys a strong relationship with the group, with total group exposure of PKR 85.3 Bn

No	Dawood /Engro Group	Approved Limits (PKR Mn)	
		Funded)	Non-Funded
1	Dawood Lawrencepur limited*/**	-	2,835
2	Engro Corporation Limited	-	1,125
3	Friesland Campina Engro Pakistan Limited	250	1,300
4	Engro Polymer and Chemicals Limited *	2,500	50
5	Engro Fertilizers Limited/ Efert Agritrade (Pvt) Limited **/**	3,000	-
6	Engro Energy Limited	-	4,009
7	Engro Elengy Terminal (Private) Limited	-	6,750
8	Engro Enfrashare (Private) Limited	1,500	2,500
9	Engro Connect Pvt Ltd	12,050	-
10	Deodar Pvt Ltd	27,950	-
11	Engro Eximp FZE (UAE Exposure)	-	19,500
Total		47,250	38,069
Total – Funded & Non-funded		85,319	

* PKR 2Bn LC facility is approved as sub-limit to DM facility of Engro Connect Pvt Ltd

** PKR 10.5Bn LC facility is approved as sub-limit to DM facility of Engro Connect while PKR 2.5bn NICF is approved as sub-limit to DM facility of Deodar Pvt Ltd

*** PKR 9Bn OTT-NICF facility is also approved under earmarking structure for EFERT with Deodar Pvt Ltd's DM facility for a 90-day period

5. The Program Details

Parameter	Proposed Terms
Program Title	Dealer Finance Program for EFERT's Dealer
Facility Type	Structured – Running Finance / Short Term Loan (STF) Fleet Finance
Purpose	Structured – RF/STF: To finance the dealers for purchase goods from EFERT, all disbursement will be made directly to the anchor either through PO/DD or account transfer/IBFT. Fleet Finance: To purchase light commercial or personal vehicle
Program Size	PKR 2,000 Mn w/w Fleet Finance of PKR 500 Mn
Dealer Limit	PKR 100 Mn at maximum.
Pricing	Markup: Structured – RF /STF: 1MK +1.00% p.a. Fleet Finance: 3MK + 1.50% p.a. Processing Fee: Nil
Transaction Tenor	Structured – RF/STF: - Maximum allowed tenor will be 60 days. However, each disbursement to be made for a period 30 days until and unless a tenor of 60 days is specifically requested by the sponsor.

	- Post disbursement, 30 days' tenor may be extended to max approved 60 days' period, subject to specific request from the anchor. - No rollover to be allowed, the dealer will be required to retire the principal and markup upon maturity. However, the limit may be reutilized on same day of the adjustment. <u>Fleet Finance:</u> - Up to 3 years.
Repayment	Structured – RF/STF: At maturity with markup Fleet Finance: Through quarterly installment.
Availability Period	Structured – RF/STF: 1 year, renewable annually Fleet Finance: 1 year
Dealers Eligibility	- EFERT's specific recommendation along with confirmation of no overdue instance with EFERT or under any other banks. - 3 years of EFERT dealership. - Annual purchases from EFERT PKR 50mn or more. - Annual sales of PKR 100mn or more. - ORR 6 or better.
Security	<u>Structured – RF / Short Term Finance:</u> - Hypothecation over stocks - duly registered through STR or ranking charge in SECP, whichever is applicable. - Postdated cheques of the facility amount - PGs of the sponsors. - Stop supply undertaking/agreement from EFERT <u>Fleet Finance:</u> - HPA marking in excise & taxation department - 20% margin on vehicle's invoice value in shape of down payment. - Postdated cheques of the facility amount - PGs of the sponsors.
Insurance	<u>Structured – RF / Short Term Finance:</u> Insurance up to limit amount with 25% margin to be obtained over the stocks. Insurance cover may be arranged by the anchor or dealer as per the Anchor arrangement <u>Fleet Finance:</u> Insurance up to vehicle's value, to be arranged by the dealer.
Control Measures	- Stock report providing bank-wise details of outstanding (where applicable) against hypothecated stocks/receivables and value of stocks/receivables there against should be obtained on quarterly basis within 30 days of other month-end. - Stock Inspection to be conducted periodically or bi-annual by RM and / or CAD Officer - Stock Inspection and Stock/Receivable reports shall not be required for the period where there is no outstanding exposure or when limits are not released.
Financial Compliance	Ratio As per bank respective policy for SE, ME & Commercial / Corporate Customers

6. Documentation required for credit approvals.

6.1. Documents from customer/dealer

- Customer (dealer) Request for finance.
- Loan Application Form (LAF) for SE & ME customers & BBFS for commercial/Corporate customer as per PR.
- Three years financials (audited/management in line with applicable PR).
- Bank Statement(s) for at least one year
- Valid Fertilizer dealership in the name of firm/sponsor/close relative i.e. customer's father/brother/son/spouse/business partner (wherever applicable) – a copy of dealership certificate is attached as sample (Annexure – III)

6.2. Documents for Credit Approval

- A short credit proposal either on paper or email (Annexure – IV)
- Director Search (where applicable)
- eCIB of customer i.e. sponsor(s) firm/company/group concerns
- The anchor recommendation letter/email along with 2 year sales of the customer/dealer.
- ORR
- Call/Visit Report
- Eligibility Criteria Checklist

6.3. Constitution documents

- Proprietor/Partners: CNIC/NTN/Partnership Deed
- Limited Companies: COI/MOA/AOA/Form A& 29/BR/Search Report/etc.
- A scanned or attested copies obtained at time of account opening would be sufficed; a confirmation from account opening unit / respective branch will be obtained the original documents are held in record.
- Business entities other than sole proprietorships and AOP shall provide copies of latest filed SECP returns only in cases where account opening date is older than 1 year.

7. Communication, Disbursement and Monitoring Mechanism

During the digital supply chain tech partner onboarding, workflow configuration and platform integration, following manual mechanism may be adopted to kick start the program.

- All written/email communication should be executed by the EFERT's staff duly designated by the company's management. Subsequently, EFERT's staff may further nominate their colleagues for operational level communication i.e., Recommendation letter, Confirmation of off take (if required by the anchor), Dealership length, etc. This condition will also be mentioned on the Facility Offer Letter.
- Each disbursement request is submitted by a dealer to UBL shall be communicated to EFERT for their go-ahead via email to disburse funds for the specific amount and goods mentioned in the request (this condition will be applicable if required by the anchor).
- A standing instruction will be obtained from the customer/dealer that once funds are disbursed in their respective account the same shall be transferred to the anchor account. The dealer will not be allowed to withdraw the funds. These standing instructions may be obtained either through dealer offer letter or as a separate document.

8. Digitization

Fintech namely, Fauree, Haball & AdalFI are engaged, either of these will be finalized based of their platform fit to bank's system and operations.

9. Approval Authority

Approved delegation matrix as per credit policy annexure – XIX, Credit Approval Authority and Structure' dated 03-Aug-2023 and Credit Manual Bulletin # 23 dated 21-July-2025 shall be applicable. However, approving authority shall be Head Commercial & Retail Assets (HCRA) in case of fleet finance facilities for both new or existing bank customers.

Additionally, all credit proposal under this PPM to be endorsed by Head SCF for onward approvals.

Facility	Limit	Recommendation	Approving Authority
	Up to PKR 25 Mn	RH-SME + CH-SME + HSCF	SCO, Risk
Structured RF / STF.	Up to PKR 100 Mn	RH-SME + CH-SME + HSCF + HCRA	Head of Credit, Risk
Fleet Finance	Up to PKR 25 Mn	RH-SME + CH-SME + HSCF	HCRA

9.1. Auto Deferrals

Following deferrals will be allowed in all cases to facilitate the teams with market competitive turnaround time for approvals and transaction execution. The deferral relating to transaction execution shall remain effective until availability of the fully operative and integrated digital platform for.

9.2. CLOS / Approval

Approvals under this Strategy Paper may be raised through email but all such approval will be ratified through CLOS within 15 days of email approvals.

9.3. CAD Documentation

In cases where original documentation has yet not been available with CAD but received by the business team, they can be share/submit scans of the document to RCAD along with confirmation that original documents are held with them and original will be submitted within 02 working days from the first transaction date.

Permissible Documents in Scanned Format:

- Constitution Documents
- BBFS
- Request Letter/Board Resolution
- Utilization undertaking
- DP Note where applicable
- Letter of Lien and Set-Off (where applicable)
- Personal Guarantee if applicable
- Certificate of Charge Registration in SECP/STR etc.
- Duly accepted FAL

Deferral Condition:

- Disbursement may be allowed against receipt of acknowledgement charge filing from respective authority. Charge filing confirmation to be arranged as per CAD satisfaction with 07 working days from first transaction date.
- Deferred Documents are available in scanned form with RCAD.
- All original documents are to be dispatched to CAD within one to two (02) working days' post-disbursement.
- Any pre-disbursement discrepancies or rectifications, including compliance with CAD observations on scanned documents, must be addressed within 02 working days of the transaction date.
- RCAD shall ensure proper Management w.r.t to follow up of expired deferrals strictly in line with banks Credit Policy.

10. Exceptions / Deviation

Any exception or deferrals regarding limit eligibility, ORR, availability of required documents, or deferrals etc., may be approved jointly by HCRA and one level up in CRD. For fee waiver and pricing, HCRA approval will be required.

11. Other conditions

Bank's all policies and regulatory requirement will be applicable until and unless specifically mentioned in this program document.

11.1. Customer Visits

- Personal visits by Branch/CRA Team will be ensured and the same will be documented in the Call Report.
- The Call/Visit report must also document the storage arrangement and capacity of the prospective dealer to understand in advance the maximum stock that can be stored at the warehouse.
- BU to ensure that the dealer has adequate storage space for stocking of goods being procured through EFERT financing under this program.

12. Preparation & Maintenance of MIS

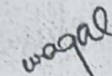
Once this Strategy Paper is approved, CAD, with assistance of operations / core banking team will open a specific GL for this Strategy Paper for generating MIS for tracking and monitoring. Operations Team to ensure no manual MIS will be required.

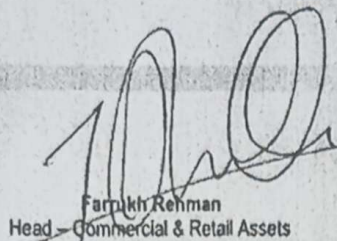
13. Annual Review

The review and update of this manual shall be done on an annual basis i.e. subsequent 1st month of 'calendar year-end closing'. However, the annual review shall be submitted at least 45 days prior to the program expiry. An interim amendment/review may be raised as and when required.

14. Approval Sign-off

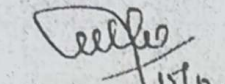
Proposed By:


Waqas Ahmed
 Head – SCF & Digital Lending


Farnakh Rehman
 Head – Commercial & Retail Assets

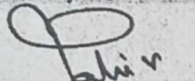
Syed Halder Naqvi
 Co-Corporate Head South

Recommended by:


Abdul Aleem Qureshi
 Group Executive
 Branch Banking

Nadia Tabassum
 Group Executive
 Corporate & Investment Banking

Concurred by:


Tahir Javed Bhatti
 Credit Head
 Corporate Risk

Shahzad Ahmed
 Head Corporate and Investment
 Banking, Corporate Risk

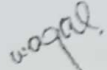
Imran Sarwar
 Group Executive
 Risk & Credit, Risk & Credit Policy

Approved by:

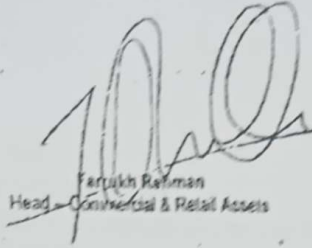
Munawar Raza Shah
 Chief Operating Officer

14. Approval Sign-off

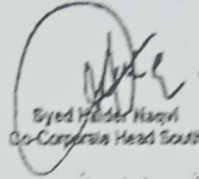
Proposed By:



Waqas Ahmed
Head - SCF & Digital Lending



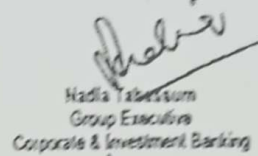
Farukh Rahman
Head - Commercial & Retail Assets



Syed Haidar Haqvi
Co-Corporate Head South

Recommended by:

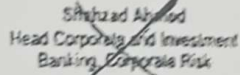
Abdul Aleem Qureshi
Group Executive
Branch Banking



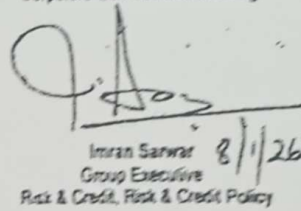
Hadia Tabassum
Group Executive
Corporate & Investment Banking

Concurred by:

Tahir Javed Bhatti
Credit Head
Corporate Risk

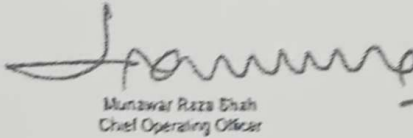


Shehzad Ahmed
Head Corporate and Investment
Banking, Corporate Risk

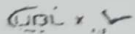


Imran Sarwar 8/1/26
Group Executive
Risk & Credit, Risk & Credit Policy

Approved by:



Munawar Raza Shah
Chief Operating Officer



Munawar Raza Shah

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15. Annexures

- 15.1. Annexure – I: NFDC's September 2025 report
- 15.2. Annexure – II: EFERT's Internal dealer's purchases data
- 15.3. Annexure – III: A copy of dealership certificate as sample (Annexure-III)
- 15.4. Annexure – IV: Short Credit Proposal / Email Template for Approvals.
 - 15.4.1. Annexure – IV (i): Document Checklist
- 15.5. Annexure – V: Dealer finance – disbursement & settlement workflow